

Contractor Scam Protection Guide — Action Checklist

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VERIFY BEFORE HIRING

- ☐ **Verify Before Hiring:** Pull the contractor's license number and cross-reference it with your state's Contractor State License Board website to confirm it is active and matches the business name on the contract.
- ☐ **Verify Before Hiring:** Check the license status, work classifications, and current bonding information on the CSLB website to confirm the contractor is authorized to perform your specific type of work.
- ☐ **Verify Before Hiring:** Request a current Certificate of Insurance showing at least \$1M general liability coverage and have the insurer confirm the policy directly within 24 hours.
- ☐ **Verify Before Hiring:** Check your Secretary of State or county clerk records to confirm the business is registered, how long it has been operating, and who the registered agent is.

PROTECT YOUR MONEY

- ☐ **Protect Your Money:** Never pay more than one-third of the total contract amount upfront at signing, or follow California's \$1,000 or 10% maximum rule for residential projects.
- ☐ **Protect Your Money:** Withhold the final payment until project completion, verified progress, and your final inspection and sign-off are complete.
- ☐ **Protect Your Money:** Refuse to pay in cash and instead use check, credit card, or a payment platform with fraud protection so every transaction leaves a traceable record.
- ☐ **Protect Your Money:** Tie all payment installments to concrete project milestones rather than calendar dates so money flows only as work is actually completed.

LOCK DOWN THE CONTRACT

- ☐ **Lock Down the Contract:** Verify the contract includes all required clauses: detailed scope of work, concrete start and completion dates, milestone-based payment schedule, change order process, warranty terms, termination rights, and lien waivers.
 - ☐ **Lock Down the Contract:** Never sign assignment of benefits agreements, blank change orders, or documents that release the contractor from liability without first consulting a lawyer.
 - ☐ **Lock Down the Contract:** Require every change order to be signed before extra work begins so all modifications are documented with your explicit approval.
 - ☐ **Lock Down the Contract:** Keep copies of all contracts, receipts, and written communications organized by project so you have documentation ready if you need to dispute charges or file a claim.
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